
RAJWANT RAWAT

are people who need exposure. We will pay 90 per cent of their stipend for 12 months. The company, of course, has to bear the cost of skilling this person in some activity which it is involved in. We are targeting about 3 million internships in the first phase and about 7 million in the second phase.

Q. Has the new CSR scheme been tried anywhere before?

This is an Indian experiment. But it draws from apprenticeship, which is there in India and in many developed countries. But CSR, through statute, is almost uniquely Indian. The CSR scheme is also to give people on-the-job exposure with good employers. One other benefit is that we will be dealing with India's top companies where the chances of fraud or, you know, pretence in training, will be less for they have reputations to protect. If they agree to do something, they will probably do it well.

Q. Where did this policy direction come from?

The PM has been talking about this for quite some time. One of our tasks was to do something meaningful about skilling so that we could promote employment by involving the private sector both willingly and voluntarily—there was to be no compulsion.

Q. Is this the great leap forward then for job creation?

As an economist, I'd say this is the best way forward for India in what the government can do to help the private sector. We don't want to create non-jobs that exist only because of the state. We are seeking real jobs, where the private sector will choose and employ a person because they want to. And what are we doing? We are helping. ■

which, Somanathan acknowledges, there are "no quick or easy fixes". Thus there was a need to have schemes that could cut through the regulatory cholesterol. While the team knew that businesses would not employ people just because they were getting subsidies, there were enough examples to show that fiscal incentives do influence companies' choices to employ more people. So, instead of a single employment-generation scheme, the Modi government decided to go in for a slew of them. Many saw that as a big signal by itself. "While we have certainly not been creating enough good-quality jobs, the most useful thing that the budget does is to say that jobs are an area that needs priority attention. That is a good message to convey," says Naushad Forbes, co-chairman, Forbes Marshall, a process industry consultancy.

THE INNOVATIVE SCHEMES

Three of the new schemes are based on the principle of Employment-linked Incentives or ELIs. The first will provide a one-month salary of up to Rs 15,000 in three instalments for all new entrants to the workforce—a scheme that would benefit over 21 million youth, cost Rs 23,000 crore and run for three years. The idea, say officials, is to pay for the first-timers' initial costs, including transport to their places of work. But to prevent fraudulent employees from picking up the subsidy, the scheme mandates that the person be registered with the Employees' Provident Fund Organisation (EPFO). This also ensures a greater formalisation of the economy. The second is to encourage bulk hirings in the manufacturing sector, which is performing below par in its overall contribution to the GDP. The scheme offers a handsome subsidy of 24 per cent of a new worker's salary, shared equally between employer and employee. It will be given to only those who employ 50 newcomers or 25 per cent more than their current base. What it does is to take care of the EPFO contribution of 12 per cent of the employer and the employee, enabling the latter to get more cash in hand. The scheme will benefit 3 million youth, cost Rs 52,000 crore and will be available for two years. The third scheme is subsidy support for any employer who hires at least two employees more than the previous year, and the government will reimburse the employer's EPFO contribution of up to Rs 3,000 a month. This is expected to benefit 5 million people and cost Rs 32,000 crore. The idea behind this scheme is that if somebody is relocating to India—typically what Sabharwal calls the "Factory Refugees of China"—they are likely to employ over 1,000 employees, making it a substantial incentive. Alongside, changes in the personal taxation structure should also come as an incentive to first-timers, since the threshold for the lowest tax slab of 5 per cent has been raised from Rs 5 lakh per annum to Rs 7 lakh in the current budget.

The other two big schemes focus on skilling, the most audacious being the Rs 63,000 crore scheme that offers internship opportunities to 10 million youth in the top 500 companies